

WGU D076 Condensed Study Guide

WGU D076 — Finance Skills for Managers

Condensed Study Guide

How to use: Learn **Part 1 (Concepts)** first → drill **Part 2 (Q&A)** until answers feel automatic.

Sources: Your quizzes/unit tests + instructor cohorts. Quizlet not used.

PART 1 — CONCEPTS TO LEARN

Quick Decision Rules (OA Cheat Sheet)

If the question is about...	Choose / remember
Pick one project / max \$ value / mutually exclusive	NPV (highest wins; NPV>0 accept)
Limited budget / rank projects	Highest PI first (PI>1 accept)
Return as a % / easy to explain	IRR (IRR > hurdle; NPV=0 at IRR)
Weird cash-flow sign changes	NPV (multiple IRRs)
Answers in \$ vs %	NPV vs IRR
Ordinary annuity (end) / annuity due (begin)	Excel TYPE 0 / 1
Uneven CFs → value today / rate	Excel NPV / IRR
Need money now / grow to later	PV / FV
Spontaneous vs discretionary	Moves with sales vs management choice
Extra financing needed	DFN = Proj A – L – E
Grow without new stock	SGR ; grow with no new debt/equity = IGR
Supplier / short-term creditor concern	Liquidity ratios
What drives ROE	DuPont: Margin × Turnover × Leverage
Already spent before decision	Sunk → ignore
Forgone next-best use / steal own sales	Opportunity cost / cannibalization → include

Unit 2 — Foundations

Topic	Key points
Finance vs accounting	Finance = future ; accounting = past
Business finance	Funding, capital structure, raise firm value
Investments	Choose assets for future wealth
Firm goal	Maximize owner wealth
Personal goal	Maximize utility / satisfaction
Investment test	Do benefits outweigh costs?
Manager decisions	Investment (spend?) · Financing (raise funds?) · Working capital (day-to-day cash)
Markets	Purpose = liquidity + prices . Primary = first issue/IPO. Secondary = after. Money market = short-term ≤ 1 yr
SEC / Fed	SEC = protect investors. Fed = inflation & unemployment via rates
Institutions	Role = transactions (deposits, loans, investments). Depository = deposits+loans. Insurance = contractual (pays claims from investment returns). Mutual fund = investment (market access). Pension = retirement. PE = non-public/troubled buyouts. IB = mergers. Central bank = money supply
Indicators	Leading (before): yield curve. Coincident (during): personal income, GDP. Lagging (after): CPI, unemployment. Inverted curve → possible downturn
Ethics	Ethical = accepted standards. Moral = personal beliefs. Legal = laws (gov penalty). Steps: 1 problem → 2 alternatives → 3 stakeholders → 4 act
Agency	Managers' interests $\neq$ owners'. Fix = align via stock/options. Fake accounting / company car = agency examples. Bondholders want safe projects + strict covenants

Unit 3 — Interest, TVM, Returns, Risk

Interest & required return

- Interest rate = % **of principal**; expressed as a **percentage**; annual form = **APR**
- Also called: discount rate / required rate / cost of capital / **hurdle rate** (minimum to accept a project)
- Required return = **opportunity cost + risk + inflation**
- Longer term → more risk + opportunity cost → higher required return
- Inflation = $\uparrow$ average price of a basket of goods. Causes: demand-pull, cost-push, adaptive expectations (wages chase prices)
- **Nominal** = money growth (includes inflation). **Real** $\approx$ **nominal – inflation** (purchasing power)
- **Risk-free rate** $\approx$ inflation + opportunity cost. **Risk premium** = pay for risk
- Simple interest = $P \times R \times T$ (straight line). Compound = interest on interest (Excel uses this)

TVM & Excel

- Today's \$ > future \$ · Compounding = PV→FV · Discounting = FV→PV
- Annuity = equal, equally spaced CFs. Ordinary = end. Annuity due = begin. Perpetuity = forever
- Longer loan (same rate) → **more total interest**
- Excel: cell refs; unused = **0**; money out = negative; TYPE only affects Pmt timing
- Equal CFs → PV/FV/PMT/RATE/NPER · Uneven → NPV (value) or IRR (rate)

Returns & risk

- Return = gain/loss over time. Holding period = whole ownership period. Expected = scenario/expectational estimate
- Risk = actual return may ≠ expected. Systematic/market = can't diversify (**beta**). Firm-specific/idiosyncratic = can diversify
- Interest-rate risk = market (bonds). Default = firm-specific (borrower won't repay)
- Strategies: diversify · separate (geography) · transfer (insurance) · retain · avoid
- Higher return ↔ higher risk. Stocks riskier short-term than long-term. Utilities = low systematic risk

Unit 4 — Ratios & DuPont

Type	Measures	Remember
Liquidity	Meet short-term obligations	Current; Quick (no inventory). Suppliers care
Activity	Asset use → sales/cash	Turnovers, ACP. High inv. turnover vs peers may = stockouts
Leverage/Financing	Debt vs equity; pay interest/LT debt	Debt ratio = % assets by debt
Profitability	How well owners are rewarded	Gross / operating / net margin; ROA; ROE
Market	Share price assessment	M/B >1 growth, <1 value stock; P/E

Comparisons: Trend = over time · Cross-sectional/benchmark = vs peers · Progress = vs a **goal**

DuPont: ROE = Net Margin × Asset Turnover × Leverage (= ROA × leverage). ↑ debt or ↑ margin ↑ ROE. ROA has no leverage lever.

Operating margin = good to compare different capital structures. **Net margin** = what's left for equity holders.

Unit 5 — Cash Budgeting & Forecasting

Cash budget (short-term, ~1 month-1 year)

- Uses: forecast financing need · performance evaluation · corrective action
- Order: **receipts** → **disbursements** → **create budget** · then track → monitor → revise gradually
- Sales ≠ cash receipts (credit sales count later). Personal budget needs: income, expenses, savings
- Envelope method = cash by category. Borrow when beg cash + net cash < minimum balance

Forecasting (longer-term)

- Spontaneous = with sales (cash, AR, inv, AP, COGS). Discretionary = NP, LT debt, stock

- Special: **fixed assets** (lumpy/capacity) and **RE** (NI – dividends), not plain % of sales
- DFN after pro formas. Negative DFN = enough financing. ↓ DFN: ↑ plowback, ↑ net margin, use capacity
- SGR = grow without new equity. IGR = no new debt or equity. ↑ SGR by ↓ dividends / ↑ ROE drivers
- Sales capacity = actual sales ÷ % capacity used → room to grow without new FA

Unit 6 — Capital Budgeting & Valuation

Tool	Rule	Best when
NPV	>0 accept; =0 earns exactly required return	One project / mutually exclusive / \$ value
IRR	> hurdle accept	Communicate %; conventional CFs
PI	>1 accept; = PV inflows ÷ initial outlay	Capital rationing / ranking

- Hardest NPV input = **cost of capital** (wrong → accept bad / reject good)
- NPV weak for different **sizes** → use PI to compare efficiency
- Prefer **bonds** to keep ownership; prefer **stocks** so you don't repay par
- Discount bond = price < par; par bond = price = par; YTM ↑ → price ↓
- Preferred ≈ perpetuity (fixed forever; can skip payments). Common = constant growth forever + voting
- Bond ≈ annuity (coupons + maturity) → Excel PV
- Include: incremental, incidental, cannibalization, opportunity costs. Exclude: sunk costs, allocated overhead
- Debt benefit = interest tax shield; optimal = mix of debt + equity

PART 2 — QUESTIONS & ANSWERS

Format: Question → **Answer**

Unit 2

1. Assets for future wealth → **Investments**
2. Funding + capital structure + firm value → **Business finance**
3. Finance vs accounting → **Finance future; accounting backward-looking**
4. Main goal of firm / FM → **Maximize owner wealth**
5. Personal financial goals → **Maximize individual utility / satisfaction**
6. Why finance definition matters personally → **Compare costs and benefits**
7. Main investment question → **Do benefits outweigh costs?**
8. R&D / assess project costs & benefits → **Investment decision**
9. Issue stocks/bonds / loan for equipment / Hannah raises \$5M → **Financing decision**
10. After initial issuance trading → **Secondary market**
11. First-time issue / IPO → **Primary market**
12. Short-term borrow/lend → **Money market**

13. Markets' purposes → **Provide liquidity and determine prices**
14. SEC focus → **Protect investors**
15. Institution services → **Deposits, investment products, loans, brokerage**
16. Institutions' primary role → **Conduct transactions (investments, loans, deposits)**
17. Depository institution → **Accepts deposits & extends loans**
18. Insurance type → **Contractual**
19. How insurance pays claims → **Returns from stocks and bonds**
20. Mutual fund type → **Investment institution**
21. Access to financial markets → **Investment institutions**
22. Company/employer retirement funds → **Pension fund**
23. Buy troubled companies / non-public firms → **Private equity**
24. Help firms merge → **Investment bank**
25. Controls money supply → **Central bank**
26. Financial planner → **Works with individuals on goals**
27. Omar choosing how to pay for car → **Financing a goal**
28. Tool for personal cash flows → **Budgeting**
29. Emergency cash alternative → **Savings account**
30. Affordable mortgage → **Financing**
31. Personal income indicator → **Coincident**
32. CPI / unemployment → **Lagging**
33. Yield curve → **Leading**
34. Inverted yield curve → **May indicate economic downturn**
35. Coincident useful because → **Shows current state during shifts**
36. Fed adjusts rates to → **Regulate inflation and unemployment**
37. Ethical → **Accepted standards of conduct**
38. Moral → **Beliefs about right/wrong**
39. Legal → **Laws/rules of an authority**
40. Legal error → **Government penalty**
41. Ethical dilemma step 2 → **Consider alternatives**
42. Ethical dilemma step 3 → **Consider all stakeholders**
43. Lucas (legal + industry OK, not client-best) → **Moral** dilemma
44. Nora (risk for monthly goal) → **Ethical** dilemma (risky asset for her goal)
45. Jack advisor should → **Recommend + explain performance vs market** (don't hide info)
46. Unethical maximize value → **Often decreases shareholder value**
47. Unethical overseas → **Inadequate wages**
48. Manipulate accounting why → **Make performance look good**
49. Agency example → **Managers' own interests / company car / fake accounting sell stock**
50. Reduce agency (corporate control) → **Executive compensation / align with ownership**
51. Bondholders want → **Safe projects; to be paid back**
52. Bank on risky loan → **Strict covenant**

Unit 3 — Interest / Inflation / Required Return

1. Interest rate definition → **% of principal lender charges borrower**

2. How expressed → **As a percentage**
3. Purpose of interest → **Pay to use someone else's assets/funds**
4. Required return component → **Opportunity cost** (also risk & inflation)
5. Why long-term needs higher return → **Greater risk + higher opportunity cost**
6. \$25k in savings — opportunity cost → **Buying a \$25k car**
7. Ahmed car now costs more → forgot **Inflation**
8. Built-in inflation / adaptive expectations → **Wages chase prices → prices higher**
9. Demand causes inflation → **Shortage → prices rise until balance**
10. Inflation effect on prices → **Prices rise**
11. Compensation for risk → **Risk premium**
12. Rate money grows (daily life) → **Nominal rate**
13. Indicates inflation + opportunity cost → **Risk-free rate**
14. Annual interest rate name → **APR**
15. Why “hurdle rate” → **Minimum rate project must beat**
16. Inflation rate definition → **↑ average price of basket of goods/services**
17. Risk-free rate indicates → **Inflation and opportunity cost**
18. Sophia risky stock + inflation → Expect return **higher than inflation** for the risk

Unit 3 — TVM / Excel

1. Equal payments at end of fixed periods → **Ordinary annuity**
2. \$39,248.14 after investing → **Future value**
3. Dollar today > dollar later → **Time value of money**
4. 30-yr vs 20-yr mortgage same rate → **30-year pays more total interest**
5. Why TVM matters in decisions → **Compare benefits received at different times**
6. Annuity due TYPE → **1**
7. FV formula with cells C2:C6 → **=FV(C2,C3,C4,C5,C6)**
8. Lump sum now for future withdrawals → **PV function**
9. Uneven CFs PV in one step → **NPV**
10. Interest rate of cash-flow series → **=IRR(cash flow range)**

Unit 3 — Returns / Risk

1. What is a return → **Gain or loss over a period**
2. Expected return → **Hypothesized future returns from expectational data**
3. 1980 vs 2010 purchasing power (same inflation) → **1980; higher real rate**
4. Expected return subjective because → **Expectational data + scenario probabilities**
5. Risk in finance → **Actual return may differ from expected**
6. Market vs firm-specific → **Market can't diversify; firm-specific can**
7. Firm-specific risk → **Lawsuits, labor, management problems, etc.**
8. Interest rate risk → **Market risk; bond value vs rate changes**
9. Diversification reduces → **Firm-specific risk**
10. Risk separation vs diversification → **Geographic dispersal**
11. Risk transfer example → **Home insurance**
12. Why retain risk → **Cost of activity < alternative**

13. Utilities' systematic risk → **Low**
14. Time & stocks → **More risky short-term than long-term**
15. Higher return tends to mean → **Higher risk**
16. Labor strike after wage cuts → **Idiosyncratic / firm-specific**
17. Operating risk (price risk type) → **Operating decisions affect operating costs**
18. Spreading money over assets → **Diversification**
19. Default risk → **Firm-specific; borrower fails to repay**

Unit 4 — Ratios

1. Ratio use vs peers → **Cross-sectional analysis**
2. Why ratios flexible → **Not regulated; create as needed**
3. Help shareholders → **See if maximizing shareholder wealth**
4. Compare to similar firms → **Benchmarking**
5. Short-term obligations without external capital → **Liquidity**
6. Why many ratio types → **Different parts of the firm**
7. Leverage ratios describe → **Debt vs equity financing mix**
8. Paying ST loans faster → **Liquidity ratio increasing**
9. Current ratio type → **Liquidity**
10. Current vs quick → Quick **excludes inventory**
11. M/B = 1.2 → **Expected to grow**
12. Net margin measures → **% of revenue kept as profit**
13. ROE component → **Net margin**
14. DuPont helps → See how profits, assets, financing drive ROE
15. ↑ ROE (else equal) → **Increasing debt financing**
16. DuPont component path → **ROA** (ROE = ROA × leverage)
17. Improve ROE → **Cut costs / boost net margin**
18. Same ROE; all-equity firm → **Higher ROA**
19. ↑ ROE actions → **↓ equity financing + ↑ net margin**
20. Ratio toward a goal → **Progress measurement**
21. Market ratios purpose → **Evaluate current share price**
22. Profit per widget (COGS only) → **Gross margin**
23. What shows ROE drivers → **DuPont framework**
24. More efficient assets → Higher **asset turnover**
25. Performance over time → **Trend analysis**
26. vs competitors → **Cross-sectional**
27. Suppliers care about → **Liquidity**
28. Days to collect AR → **Average collection period**
29. Debt ratio 40% → **40% of assets financed by debt**
30. Operating margin useful for → Firms with **different capital structures**
31. ACP = 70 → **70 days to collect AR**
32. High inventory turnover vs peers → **Not enough inventory**
33. ROA vs ROE → ROE includes **capital structure**
34. Improve ROE (same leverage & AT) → **Improve profitability / cut costs**

35. Ratios across firm sizes → **Standardization**
36. Create custom cash/ST obligations ratio → **Flexibility**
37. Activity = efficiency because → Assets generating sales/cash
38. How financed + pay interest/LT → **Financing ratios**
39. Net margin 7% → 7¢ per \$1 for **equity holders**
40. ACP 67 vs industry 40 → **Tighten credit standards**
41. M/B < 1 → **Value stock**
42. Inventory turnover assesses → **Inventory management**
43. Same PM & AT, higher ROE → **Higher debt / leverage**

Unit 5 — Budgeting & Forecasting

1. Cash budget variances can show → Managers/divisions **not meeting targets**
2. Cash budget horizon → **1 month to 1 year**
3. Budgeting principles (subset) → Keep records; strategies; method that fits needs
4. Three uses of cash budgets → Forecast need, evaluate performance, corrective action
5. Cash budget order → **Receipts → disbursements → create budget**
6. Better savings goal → **Specific and measurable**
7. Mortgage fixed because → **Same amount each month**
8. Efficient budget → Compare actual vs budgeted, then **revise**
9. Personal cash receipt → **Graduation gift**
10. Business disbursement → **Rent paid/cashed; labor costs**
11. Business cash budget includes → Receipts, disbursements, **borrowing**
12. Sales ≠ receipts because → Sales include **credit sales**
13. Why track cash flows → Know spending; monitor & revise
14. Prefer software tracking when → Busy + prefer card
15. Monitoring purpose → Actual vs goals; when to correct
16. Fix budget problems → **Monitor** to find; **gradual revision** to fix
17. After budget → **Monitor and revise**
18. Useful for loan because → Builds lender trust / shows can repay
19. Cash position: business vs individual → ST loan need vs personal goal progress
20. Tracking vs monitoring → Monitoring evaluates tracking vs targets/patterns
21. Short-term cash forecast name → **Cash budget**
22. Monthly cash budget purpose → Control inflows/outflows; balance income, spending, savings
23. Need to borrow when → Beg cash + net cash < **minimum**
24. Envelope method → Cash in labeled category envelopes
25. Budget changes → Prioritize; implement **gradually**
26. Cash/AR/inventory rise with sales → **Spontaneous**
27. Negative DFN → **Enough financing** for projected sales
28. Spontaneous example → **Accounts payable**
29. SGR useful because → Max growth keeping ratios **without new equity**
30. Whole factory purchase → Fixed assets are **lumpy**
31. Before personal budget know → **Income, expenses, savings**
32. Sales \$100k cash \$90k → Not all sales on cash

33. Effective budget cycle → **Track, monitor, revise**
34. Long-term forecasts used for → **Investment and financing decisions**
35. Don't vary with sales → **Discretionary / non-spontaneous**
36. Discretionary example → **Notes payable**
37. Grow without new equity → **SGR**
38. FA rise as lump because → Must buy **entire** asset
39. Forecasting goal → Today's decisions → tomorrow's performance
40. Forecasting answers → How much **financing** needed later
41. Sales +10% may also +10% → **COGS**
42. When DFN determined → After pro formas (% of sales)
43. Decreases DFN → ↑ **plowback** or ↑ **net margin**
44. Leave constant in % of sales → **Notes payable**
45. BS changes with sales → Forecasting **spontaneous accounts**
46. ↑ SGR → **Decrease dividend payout**
47. Check capacity/DFN first → **Fixed assets**
48. Grow FA at capacity → Invest lump sum at once
49. Sales capacity tells → Growth room without new FA
50. DFN definition → Additional financing needed given growth
51. LT liabilities held flat → **Discretionary**
52. Avoid new stock; fastest grow → **SGR**

Unit 6 — Capital Budgeting

1. Increases shareholder wealth → **Positive NPV**
2. Hard to estimate in NPV → **Cost of capital**
3. NPV advantage → **\$ value added to firm**
4. NPV disadvantage → Weak for **different sizes**
5. Explain to non-finance friend → **IRR**
6. NPV when IRR reached → **\$0**
7. Unconventional CFs → Multiple IRRs → use **NPV**
8. Hurdle 9%, IRR 11% → **Accept**
9. Ratio method → **PI**
10. How PI helps NPV → Scales sizes / shows return efficiency
11. PI 0.8 → **Reject**
12. After PI=1, what causes reject → **Higher cost of capital**
13. Prefer stocks over bonds → Don't repay **par**
14. Bond below par → **Discount bond**
15. Preferred vs bonds → Can **skip** preferred payments
16. Why seek capital investment → Buy **LT assets** for growth
17. Value a bond → **Excel PV**
18. Common stock assumption → **Constant growth forever**
19. LT asset planning process → **Capital budgeting**
20. Accurate required rate matters → Wrong rate → reject good / accept bad
21. One project; max value → **Highest NPV**

22. Rank non-exclusive for value → **Highest PI first**
23. YTM 8%→7% → Bond price **increases**
24. Cost \$100k, NPV \$5k → **Accept**
25. All relevant CFs why → Know how project adds firm value
26. Mutually exclusive → **NPV**
27. Limited capital maximize value → **Highest PIs** until budget used
28. Opportunity cost (TVM) → Forgo other options by investing here
29. Timing of CFs matters because → Opportunity cost vs other projects
30. Same total inflows, different timing → Prefer cash **soonest**
31. Cost to bring funds in → Compensate investors for **risk**
32. Risk and return → Higher risk → higher required return
33. Debt can help because → Interest paid **before taxes**
34. Financing decision → Mix of **debt and equity**
35. Incremental CFs → Extra CFs from accepting project
36. Allocated overhead → **Irrelevant**
37. Incidental vs non-incremental → Incidental **included**
38. Cannibalization → New product steals **your own** sales
39. Limited budget prioritize → **PI**
40. Adds value when → **PV benefits > PV costs**
41. Investors view returns as → Amount they require to invest/lend
42. Opportunity cost → Can't use asset for next-best project
43. NPV = 0 means → Earns **exactly** required return
44. TVM methods → **NPV and IRR**
45. Prefer bonds over stocks → Don't give up **ownership**
46. Bond like annuity because → Constant coupons + maturity
47. Why cost of capital → CFs may be **uncertain**
48. Differently timed projects need → **Opportunity cost**
49. Debt disadvantage → Not optimal alone (need **debt+equity mix**)
50. Sunk costs → **Irrelevant**
51. Beekingham relevant item → **\$3M land offer** (opportunity cost)
52. NPV most reliable because → TVM + \$ value + risk
53. Results all % → **IRR**
54. PI = 1 means → IRR = cost of capital
55. Bond at \$1000 par → **Par bond**
56. Preferred like perpetuity → Fixed amount **forever**
57. Why consider TVM → \$ today ≠ same \$ later
58. Clothes vs electric bill → Opportunity cost = power shut off
59. Seemingly same projects → Different **inherent risks**
60. Own-product sales drop term → **Cost of cannibalization**
61. Sunk example → Consulting **before** project start

Unit 6 traps (easy misses)

- Bond ≠ constant growth (that's common stock)
- Cost of capital reason ≠ "reinvest earlier" → **uncertainty**

- $PI = 1 \neq \text{"benefit"} = 2 \times \text{cost}$
 - Land purchase may be sunk; **forgone sale offer** matters
 - % $\rightarrow$ IRR; \$ $\rightarrow$ NPV
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Study order: Cheat sheet $\rightarrow$ Unit 3 Excel/TVM $\rightarrow$ Ratios/DuPont $\rightarrow$ Forecasting $\rightarrow$ Capital budgeting $\rightarrow$ drill Part 2.